

QUBT pitch deck

PITCH — QUBT — VERDICT

PROPOSED — PENDING ADJUDICATION — No position. Both benches land flat; the disagreement is over *how badly* the original brief was wrong, not over whether to buy.

What we believe

Quantum Computing Inc. trades at \$8.92 (Friday 2026-08-21 close), down 65.5% from its 52-week high of \$25.84 and up 44.3% off its \$6.18 low. At 226.35 million shares that is a ~\$2.0 billion market value. The company holds roughly \$1.32 billion of cash and marketable securities — about \$5.64 per share net of other obligations, or ~\$1.28 billion. So the market is paying about **\$742 million for the operating business**.

What is that business? Six months ago it was a quantum-photonics research company with essentially no revenue. Today it is a roll-up of three acquired hardware businesses:

Acquired	Closed	Cash paid
LSI (photonics/optics)	2026-02-02	\$108.5M
NuCrypt (secure comms)	2026-03-04	\$4.5M
NHanced (advanced chip packaging)	2026-06-22	\$73.8M

Total: **\$186.8 million of cash spent in five months**, plus an unvalued earnout of up to **\$72.0 million** owed to NHanced sellers if they hit revenue targets in FY27/FY28 and an EBITDA target in FY28.

Our belief, after both benches:

- 1. The headline growth is bought, not earned.** First-half revenue was \$9.24 million. The acquired companies contributed \$8.6 million of it. Strip them out and the original quantum business did roughly **\$204,000 in the June quarter** — call it eight hundred thousand dollars a year. The company's own press release framed this as revenue up ~9,000% year over year.
- 2. The acquired revenue is shrinking, not growing.** The purchase note shows NHanced would have done ~\$7.5 million in the first half of 2026 against roughly \$16 million in the same period a year earlier. The CFO's explanation on the call: funding on a large Navy contract "has been pushed off." We paid \$73.8 million plus a potential \$72 million earnout for a revenue line that halved on the way to closing.
- 3. The revenue that exists is sold below cost.** Q1: \$3.691M revenue on \$4.412M cost of goods. Q2: \$5.551M on \$6.717M. Gross margin is roughly **negative 20%** and has not improved as volume grew.

4. **The cash pile is real but it is not a floor.** It is a war chest management is actively spending. In six months the treasury fell from \$1,520.4 million to \$1,323.5 million — down \$197.0 million, or 13% — and only \$23.3 million of that was operating losses. The rest was acquisitions and capital spending.

So: a \$742 million valuation on a photonics-and-packaging contract manufacturer with negative gross margin, declining acquired revenue, and roughly \$800K of organic annual sales — priced on a quantum-computing multiple. **We are flat and we think flat is right.**

What the market believes

Sell-side has *raised* FY26 revenue estimates from \$22.3 million to **\$41.2 million**, with price targets of \$18.00–\$18.70 and a low estimate of \$10 — every published target sits above the current tape. The market's story is coherent:

- The revenue ramp is real and accelerating (it is — arithmetically, because H2 gets full quarters of NHanced and LSI).
- Advanced packaging is a genuine bottleneck in AI hardware, and owning a domestic packaging fab is strategically valuable independent of quantum computing.
- Negative gross margins on a fab that just changed hands are a start-up artifact; packaging businesses at scale earn semiconductor margins.
- The cash is a genuine competitive advantage: this company can buy assets that its cash-poor peers (Rigetti, D-Wave, IonQ) cannot.
- The peer group supports the multiple. IonQ trades at ~72x trailing sales. If that is the clearing price for the theme, QUBT's stub at ~18x forward sales is *cheap within its cohort*.

The last point deserves respect. A cohort that pays 72x can re-rate this stub for reasons no balance-sheet argument reaches.

Why we might have edge

The organic-revenue disaggregation is not in the headline and not in most models. You have to open the business-combination note, take the acquirees' contribution out of the consolidated total, and cross it against the CFO's call remark to get to \$204,000. The press release says +9,000%. Anyone modeling off the press release is modeling a company that does not exist.

The acquired-revenue decline is only visible in the pro-forma line. Purchase-accounting notes disclose what the target *would have* contributed for the full period. That figure (\$7.5M) sits below the target's own prior-year figure (~\$16M). Almost nobody reads pro-forma columns as a diligence input on the target's health; they read them as a modeling convenience. Two of our benches independently confirmed the same arithmetic from the same rendered statements.

The cash-flow statement contradicts the cash-flow narrative. Every summary of this company describes a fortress balance sheet. The actual statement of cash flows shows the fortress being converted

into goodwill at \$190 million per half-year. That is a public fact that requires opening line one of the *investing* section, which most screens do not do.

We ran physical-world checks that most desks do not. A satellite analysis of the Arizona parcel where the company has described a foundry option shows no construction signal through October 2025 (built-up index change -0.014 , vegetation index $+0.012$ — the opposite of a buildout). This is a genuine negative finding, though it comes with a limit we state below.

Where the edge is weaker than the original brief claimed: the brief argued the stock was dislocated relative to its peers. It is not. Same-day drawdowns from 52-week highs: QUBT -65.5% , Rigetti -69.2% , D-Wave -56.4% , IonQ -47.0% . Median $\approx -61\%$. QUBT is cohort-typical. That leg of the edge is dead.

Why it might be priced in

The market may already know it is buying a packaging company. Advanced packaging is arguably a *better* business than quantum computing, and if the market has quietly re-rated QUBT as a domestic packaging play, the “category error” we identified is our error, not the market’s. We have not tested this. Nobody publishes “what fraction of QUBT holders think they own a packaging company.”

Negative gross margin on a newly-acquired fab is genuinely ambiguous. Cost of goods currently carries provisional purchase-accounting amortization — an accounting charge, not a cash cost, that will change when the allocation is finalized. Our red bench computed an “incremental gross margin of -23.9% ” from Q1 to Q2 and called it a trend. Our blue bench refuted that: NHanced closed on June 22 and contributed only $\sim \$0.1$ million to Q2, so the quarter-over-quarter delta was LSI seasoning across a wholesale mix change, not a margin trajectory. **Two printed quarters of negative margin is a fact; a worsening trend is not established.**

The Navy contract deferral may be exactly what it says it is. Government programs slip. If the award lands in FY27, NHanced’s revenue doubles back and the earnout was cheap. We cannot handicap this — we could not identify the program element or budget line.

The insider is buying at this price with his own money. On 2026-08-20 the CEO exercised 584,897 legacy warrants at \$8.95 per share — transaction code A, an acquisition — paying roughly \$5.2 million in cash with the stock at \$8.92. He now holds 21.53 million shares, about 9.5% of the company. That is a person with better information than us choosing to increase exposure at exactly our entry price. It is not proof of anything, but it is the single most uncomfortable fact in this deck for the bear case.

No dilution is happening. Zero at-the-market share issuance in the first half. The July S-8 is an employee benefit-plan reserve, not a resale registration. The financing inflow was \$4.3 million of option exercises. Whatever else is wrong here, shareholders are not being diluted right now.

What could go wrong

(This section assumes the position we would take if the reopen conditions below were met — a small starter. We are flat today.)

Failure #1 — The cohort re-rates and the balance sheet argument is simply irrelevant.

IonQ at 72x trailing sales proves the theme can pay any price. If quantum-computing enthusiasm returns — a competitor's error-correction milestone, a government program announcement, an index inclusion, an AI-packaging supply headline that has nothing to do with QUBT — this stock doubles regardless of the \$204,000 organic revenue line, and we watch it from the sidelines. If we are *long* in that world we make money for the wrong reason, learn nothing, and size up on a false confirmation.

Tripwire: peer-cohort daily moves; this one is monitorable.

Failure #2 — The fourth acquisition. Management has closed three deals in five months and has \$1.32 billion left. Nothing in any filing tells us what they will buy next, when, at what price, or how it will be financed. We would be underwriting a capital-allocation process we cannot observe, on a treasury that shrank 13% in a half-year. If the next deal is a \$300 million purchase of another declining revenue line, or if the NHanced earnout converts to a \$72 million cash obligation on targets that get hit for the wrong reasons, our “floor” moves down and we learn about it in a filing after the fact.

Failure #3 — the one with NO monitorable tripwire. Nothing we can watch tells us what the *acquired businesses are actually worth as operating assets*. We have: a provisional purchase-price allocation that is not finished; \$73.5 million of identifiable intangibles disclosed but not yet on the balance sheet; goodwill sitting at \$181.5 million as a temporary plug; no customer-concentration table; no decomposition of the \$42.5 million backlog between government and commercial; and a qualitative statement on a call that 70–80% of revenue comes from government work through aerospace and defense primes. A single unnamed prime could be most of the revenue. A single program cancellation could take it. **The unknown-unknown class here is *contract-level customer and program concentration in a private acquired subsidiary* — a category where the disclosure regime does not require the issuer to tell us, no external dataset covers it (we could not trace a budget line, a J-Book program element, or a contracting proxy), and the first evidence of a problem is the revenue print itself.** There is no sensor that can be built for this. That is the honest statement, and it is a reason to be small rather than a reason to be confident.

The reflexive and structural leg. Our own size is not the risk here — a quarter-percent starter in a name that trades in size is a rounding error against daily volume, and we have not measured average daily volume, which we flag below as unverified rather than assume. The real reflexive risks are our own machinery:

- **Our doctrine has a default that would put us in this name.** We have a standing rule that a name which survives an adversarial review with no *named* kill gets a minimum starter position rather than a flat. That rule exists to stop us from being lazily negative. Here it would have been wrong, and the only thing stopping it is that the benches produced three specific named kills. We should notice how close the automatic behavior came to overriding the analysis.
- **A resting price order into this name is an accidental bet against volatility.** If we auto-arm a buy at \$6.40 and leave it, the most likely way it fills is a gap down on news — meaning we

get filled *because* something broke, at a price set before we knew what broke. This is the exact pattern we have burned ourselves on before. Any \$6.40 gate must be a *re-diligence trigger*, not a live order.

- **We would be buying into our own predicted flow.** Our bear case is that the market eventually re-prices this from quantum multiple to packaging multiple. If we are right, the path there is selling pressure. Bidding a level inside a decline we ourselves forecast is buying from people who agree with us.

If this position loses money, the most likely reason will be that we underwrote a \$742 million operating business we could not actually see inside of — an acquired, government-concentrated, provisionally-accounted revenue line whose real customer and program exposure is not disclosed anywhere we can reach — and the first thing that tells us the truth is a revenue print we cannot anticipate.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“28 years of cash runway” (<i>original brief</i>)	Pulled the actual cash-flow statement — 10-Q Exhibit R6	The brief divided the treasury by operating losses alone, ignoring \$168.7M of acquisitions and \$4.5M of capex. Our own brief was wrong by ~8x.	NO — our error
“3.4 years of cash runway” (<i>red bench correction</i>)	Same statement, re-read	Red then annualized a one-off acquisition program as if it were recurring burn. Operating + capex alone is \$27.8M per half → ~24 years. Our own red bench overcorrected by ~7x. The honest answer is a range of 3.4–24 years, and the <i>width of that range is the actual finding</i> — it depends entirely on management’s future deal appetite.	NO — our error
Treasury movement reconciles	Cross-check: \$192.2M spent + \$4.8M securities mark-to-market	Closes exactly against \$1,520.4M → \$1,323.5M (–\$197.0M)	YES
“NHanced was acquired with negative tangible assets” (<i>original brief, from a secondary aggregator</i>)	Purchase note R9	Net tangible assets acquired were +\$27.2 million . The brief’s headline kill came from a news aggregator and the primary filing says the opposite. Our error, and a sourcing-discipline failure.	NO — our error
“Goodwill exploded from \$55.6M to \$181.5M — permanent value transfer” (<i>red bench</i>)	R9 allocation, checked line by line	Consideration = net tangible + goodwill <i>exactly</i> for all three deals, while \$73.5M of identifiable intangibles is disclosed as “subject to valuation completion” and not yet booked. Goodwill is a temporary plug that should fall ~\$73.5M when the allocation finishes. Red overstated this by roughly 60%.	PARTLY — our error

Claim	How checked	Found	Confirmed?
Gross margin is negative	Income statement R4	Q1 –19.5%, Q2 –21.0%. Two printed quarters.	YES
Margin is <i>deteriorating</i>	Q1→Q2 incremental margin	Red computed –23.9% and attributed it to NHanced. But NHanced closed June 22 and contributed ~\$0.1M. The delta was LSI mix. The level is confirmed; the trend is not established. Red’s extrapolation overturned.	NO — our error
Loss “narrowed” year over year	R4	Operating loss <i>widened</i> from –\$10.2M to –\$23.0M. Pretax loss looked better only because of \$12.95M of interest income and a \$1.68M fair-value gain.	YES
Interest income is inside the operating line	Blue bench re-read of R6	The –\$23.3M operating figure is already net of ~\$23.2M of cash interest received. True cash operating cost is ~– \$46.5M per half — and it gets worse mechanically with every dollar of treasury spent on deals. Red found this and under-ranked it.	YES
Stock is dislocated vs. peers	Same-day quotes, all 2026-08-21	QUBT –65.5% vs RGTI –69.2%, QBTS –56.4%, IONQ –47.0%, median $\approx$ –61%. Cohort-typical. The dislocation claim is dead. The apparent 33-point gap vs. the broad technology sector is just sector beta.	NO — our error
Entry price is a depressed tape	Prior-day close comparison	QUBT closed + 9.58% on 8/21 (from \$8.14). IONQ +8.02%, RGTI +11.48%, QBTS +8.46% — a sector-wide up day. We would be buying the top of a squeeze, not a floor.	YES
Share count / dilution risk	Warrant note R59	Only ~1.8M warrants in the table; zero at-the-market issuance in H1. Genuinely clean.	YES
“Cap structure is CLEAN” (<i>red bench</i>)	Form 4 ownership.xml , filed 8/21	Red missed a tranche: the CEO exercised 584,897 legacy QPhoton warrants at \$8.95 — a strike absent from red’s four-tranche table. Red generalized one note into a clean bill of health. Minor in size; a process failure in kind.	PARTLY — our error
Insider activity: buying or selling?	Same Form 4	Transaction code A — acquisition. CEO paid ~\$5.2M cash to exercise at \$8.95 with the stock at \$8.92, taking his stake to 21.53M shares (9.5%). This cuts <i>against</i> our bear case.	YES
Arizona foundry buildout	Satellite imagery, built-up vs vegetation index	No construction signal (built-up –0.014, vegetation +0.012) from a 2021 baseline to a 2025-10-28 scene. Honest limit: the imagery is ~10 months stale and predates the June 2026 NHanced acquisition entirely. It refutes the Arizona parcel, not the	PARTLY

Claim	How checked	Found	Confirmed?
acquired capacity — and the acquired fabs are in Indiana and North Carolina, not Arizona.			
Customer concentration	Rendered financial statements + Q2 call	No quantitative decomposition anywhere. Qualitatively: 70–80% government via aerospace/defense primes, and a <i>single</i> contract deferral roughly halved NHanced’s revenue. Undisclosed concentration in a company whose entire revenue line is four months old is itself the finding.	YES (as a gap)
The pack’s own historical financials	Compared against the 10-Q	The machine-built evidence pack’s quarterly data is four quarters stale. Both benches caught it independently and superseded it. Flagging so the pack gets fixed.	NO — tooling error

Where the two benches disagreed and how we resolved it: red recommended reject at 2/10 worthiness; blue partially overturned red and landed at 4/10. Blue is right that red’s two “fatal” tags do not survive — the runway kill is an extrapolation artifact and the peer-dislocation kill hits an argument the original brief explicitly disclaimed. But blue’s own new findings (organic revenue of \$204K, acquired revenue halving into the close) are *worse for the name* than what red argued. **Both roads end at flat.**

PROPOSED ENTRY BANDS

No entry. No order. No resting bid. Below are the conditions under which we reopen the file.

Reopen requires BOTH of the following, at any price:

- 1. The Q3 print (expected 2026-11-09) shows NHanced revenue re-accelerating** — meaning the deferred Navy work has landed or been replaced, not merely that consolidated revenue rose because of an extra full quarter of ownership. We will measure the acquired lines, not the total.
- 2. Total cash and securities are flat or higher excluding mark-to-market moves.** That is the capital-discipline test: management stops converting the treasury into goodwill for at least one period.

Additional reopen triggers, any of which restarts diligence on its own:

- 3. An 8-K or note disclosing the NHanced earnout as valued and capped** — removing the unbooked \$72.0 million claim on the treasury.
- 4. A completed purchase-price allocation** that books the \$73.5 million of identifiable intangibles *without* increasing goodwill. This is the clean version of the accounting; if goodwill instead rises, that is the dirty version and the file stays shut.
- 5. Positive gross margin at the acquired businesses** in any reported period.

6. QUBT's drawdown from its 52-week high diverging **more than 15 percentage points** from the peer median on a same-day basis (today: -65.5% vs $\approx$ -61% — nowhere close). This is the dislocation test the original brief thought it had already passed.

On price: \$6.40 per share — about 12% below the \$5.64 of net cash per share — is the level at which the market would be paying *less than nothing* for the operating business. It is derived from the balance sheet, not from the tape, so the fact that Friday's close was a sector squeeze does not invalidate it. **But price alone is explicitly not sufficient.** Reaching \$6.40 while the treasury is being spent at \$190 million per half-year means the floor moved down with the price. Treat \$6.40 as a *re-diligence alarm*, not a buy level, and never as a resting order.

Sizing, if and when both reopen conditions are met: a starter of no more than **0.25% of book**, staged as a single dated tranche. Not larger, because the pre-mortem's third failure mode has no sensor. Not smaller, because at that point we would have a verified capital-discipline signal and a re-accelerating revenue line.

Catalyst dates: - 2026-11-09 — Q3 results. UNCONFIRMED. This date is derived from a data vendor; no company press release names it. Treat as approximate until the company confirms. - The decisive print for the current state of the file already landed on **2026-08-10** ([8-K, accession 0001213900-26-087267](#), Item 2.02). We are *post*-print, 78 days from the next one. There is no near-term event pressure to act. - The purchase-price allocation measurement period for NHanced runs up to one year from the 2026-06-22 close, so the allocation could finalize at any point through **2027-06-22**.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 8.14 (deck-provisional: the pre-squeeze 2026-08-20 close; any entry level computed off the \$8.92 print must be re-measured fro)
- filing watch: 10-Q until 2027-02-18 (deck-provisional: read the INVESTING section first: total cash+securities flat ex-mark, and acquiree-level revenue — org)
- dated pack QUBT|2026-11-09: QUBT: Q3 2026 results — the reopen test: NHanced revenue re-accelerating AND treasury flat ex-mark (date confirmed=False)
- dated pack QUBT|2027-06-22: QUBT: outer bound of the NHanced purchase-price-allocation measurement period (one year from the 6/22/26 close) — goodwill plug must resolve

What remains unverified

- **Live price.** Broker contract lookup was denied. \$8.92 is a stale Friday close, not a spot quote. All price-derived figures inherit that staleness.
- **Average daily volume.** Never pulled. Our sizing discussion assumes our size is immaterial to the market; that assumption is untested even though it is almost certainly right.

- **The operative dispersion test was never run.** The original brief argued the mispricing was *balance-sheet* dispersion — net cash relative to market value versus peers — not price dispersion. Neither bench computed peer net-cash-to-market-cap. Red refuted a price-dispersion claim the brief had explicitly disclaimed. **The actual test remains unrun**, and it is the one thing that could still make this file interesting.
 - **Customer and program concentration.** No quantitative breakdown exists in the filings. The \$42.5 million backlog is not decomposed between government and commercial.
 - **The deferred Navy award.** We could not identify the program element, the budget line, or the contracting vehicle. Four separate government-budget checks came back unrunnable for want of a named program.
 - **Facility utilization.** No thermal-imagery pull was run on the Arizona site; the optical imagery we do have is 10 months stale and covers the wrong facility for the current business.
 - **DOE Office of Science budget** — not pulled; relevant to the federal share of backlog.
 - **The quality of the \$73.5 million of unbooked intangibles.** We know the number is disclosed and the allocation is provisional. We do not know what the intangibles are or whether they will survive an audit.
 - **Whether the market has already re-rated this as a packaging company.** Our “category error” thesis is untested against actual holder composition or sell-side framing beyond headline targets.
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